

Meta Platforms, Inc.

META NASDAQ

Hold \$543.67 ▼ 4.45% 12M Price Target \$620.00 52-Week Range \$520.26 – \$790.80

Market Cap \$1.39T

META: Child Safety Trial Opens, Stock Cracks Below \$550

WHAT HAPPENED

- Stock got hit for 4.5% today (and is down ~9% in a week) because the child safety trial in California officially kicked off — this is the big one, where states and families are arguing Meta knowingly designed Instagram to be addictive for kids. Think Big Tobacco-style "duty of care" framework, which is why WSJ is all over it.
- Second gut punch: Chamath Palihapitiya (well-known VC) publicly said top engineers want to work at "Space/Search/AI" companies, not Meta's "advertising machine." That feeds the narrative that Meta is losing the AI talent war to OpenAI, Anthropic, xAI — and it comes right after Zuck's been paying \$100M+ packages to poach people.

WHY IT MATTERS

Here's what I think is actually going on: the market isn't pricing in Meta losing the trial outright — it's pricing in the *uncertainty* of what a bad verdict would force them to change. If a jury decides Instagram has a legal "duty of care" to teens, every social platform gets rewritten, and Meta's most engaging product (Reels for teens) takes a haircut. The options flow tells you smart money agrees — those unusual \$625-650 puts are people betting this doesn't bounce quickly. But zoom out: Meta still prints ~\$60B in free cash flow, trades at ~20x forward earnings (meaning you're paying \$20 for every \$1 of profit next year), and the ad business is firing. This is a headline-driven selloff on a fundamentally healthy business, which is usually where you get paid to be patient — as long as the trial doesn't produce a shock verdict.

POLICY & POLITICAL WATCH

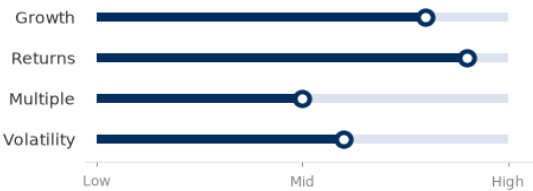
The regulatory environment is the whole story right now. KOSA (Kids Online Safety Act) has been kicking around Congress and this California trial could accelerate federal action — if the jury sides against Meta, expect bipartisan momentum for a federal duty-of-care standard, which would be a structural headwind for engagement metrics. On the flip side, the Trump administration's AI executive orders have been notably friendly to US tech champions (loose on AI training data, tough on China), which is a tailwind for Meta's Llama/AI infra spend. Also worth watching: the Samsung/TSMC chip price hikes — Meta's capex on AI data centers just got more expensive, which pressures margins in 2027.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$543.67
12M Price Target	\$620.00
Upside / (Downside)	+14.0%
Market Cap	\$1.39T
FY2026E Revenue	\$195M
FY2027E Revenue	\$222M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	19.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$590.00	\$555.00	\$495.00
6 Months	\$680.00	\$610.00	\$470.00
1 Year	\$780.00	\$620.00	\$450.00
2 Years	\$900.00	\$700.00	\$480.00
5 Years	\$1200.00	\$850.00	\$500.00
10 Years	\$2000.00	\$1200.00	\$550.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.5% on the week) is ripping on Middle East tension and supply cuts; Healthcare bid up on defensive rotation. Both are classic "risk-off" tells.

COOLING OFF: Comm Services (Meta's home sector) down 0.7% on the week, Consumer Discretionary down 2.4% — the mega-cap growth trade is losing air as folks worry about regulation and AI capex ROI.

ROTATION WATCH: Money is clearly rotating *out* of expensive growth into defensives and energy — that's a macro headwind for Meta beyond the company-specific stuff. Watch the 10-year yield; if it keeps climbing, growth multiples stay pressured.

RELATED PLAY: If you like Meta's AI thesis but hate the regulatory risk, the picks-and-shovels play is the data center/power names — think VRT (Vertiv) or the utilities feeding AI campuses. They get paid regardless of who wins the AI war.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Search AI is holding up better than feared, less regulatory heat than Meta right now on the kids issue.
- NFLX (Netflix): Ad tier is scaling and they don't have the "harm to kids" legal exposure — becoming the "clean" mega-cap media name.

META CONTEXT: Meta is lagging its peer group badly this week — down 9% while GOOGL is roughly flat. That tells you this is company-specific (trial) more than sector-wide, which is actually *good* news for the setup — it means when the overhang clears, Meta should catch back up.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business, hate the timing. Not pounding the table until the trial narrative stabilizes.

POSITION SIZE: 3-5% of portfolio — this is a core large-cap holding, not a swing trade, but I wouldn't oversize into a live jury trial.

ENTRY POINTS: \$520-540 range if the trial produces more bad headlines this week. That's near the 52-week low and would be a gift if the fundamentals hold.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for: trial resolution + evidence that AI capex is actually improving ad revenue per user.

WHEN TO BAIL: Jury verdict with punitive damages north of \$20B, or a Q3 earnings miss on ad revenue (which would signal advertiser pullback), or Zuck announcing another massive capex step-up without ROI clarity.

HEDGING: Simple version — buy a put option (basically insurance that pays off if the stock drops) at the \$520 strike expiring in October. Costs a small premium, protects you if the trial goes sideways. Or just keep some cash on the sidelines to average down.